CEYLON TEA BROKERS PLC

PB 1280 PQ

INTERIM CONSOLIDATED FINANCIAL STATEMENTS

FOR THE PERIOD ENDED 30TH JUNE 2024

CEYLON TEA BROKERS PLC

Statement of Profit or Loss and Other Comprehensive Income for the Period Ended 30th June

	GROUP			COMPANY		
	For the Quarter Ended		Variance	For the Quarter Ended		Variance
	30.06.2024	30.06.2023	%	30.06.2024	30.06.2023	%
	Rs.	Rs.		Rs.	Rs.	
Revenue	384,059,597	424,360,764	-9%	263,018,028	299,026,930	-12%
Operating Expenses	(152,731,832)	(136,983,388)	11%	(46,932,131)	(38,677,511)	21%
Gross Profit	231,327,765	287,377,377	-20%	216,085,897	260,349,420	-17%
Marketing Expenses	(10,741,529)	(10,637,834)	1%	(8,410,825)	(8,786,619)	-4%
Administration Expenses	(132,243,126)	(127,681,649)	4%	(105,619,921)	(106,358,602)	-1%
Net Finance Expenses	(69,896,487)	(101,798,758)	-31%	(52,006,190)	(83,986,076)	-38%
Profit Before Taxation	18,446,623	47,259,135	-61%	50,048,961	61,218,122	-18%
Taxation	(17,016,646)	(20,814,162)	-18%	(17,016,646)	(20,814,162)	-18%
Profit After Tax	1,429,977	26,444,973	-95%	33,032,315	40,403,960	-18%
Other Comprehensive Income/(Loss)	-	-		-	-	
Profit for the Period	1,429,977	26,444,973	-95%	33,032,315	40,403,960	-18%
Earnings Per Share	0.01	0.14		0.18	0.22	

figures in brackets indicate deductions.

CEYLON TEA BROKERS PLC

Statement of Financial Position

As at	GROUP Unaudited 30.06.2024 Rs.	GROUP Unaudited 31.03.2024 Rs.	COMPANY Unaudited 30.06.2024 Rs.	COMPANY Unaudited 31.03.2024 Rs.
ASSETS				
Non-Current Assets				
Property, Plant & Equipment	832,220,867	845,065,928	16,363,253	17,224,295
Right of Use Assets	184,559,710	188,576,512	-	-
Intangible Assets	54,299,672	57,772,045	1,629,737	1,848,544
Deferred Tax Asset	-	-	18,478,411	18,478,411
Refundable Deposit on Lease Premises	10,766,926	10,766,926	6,595,710	6,595,710
Loans & Advances to Tea Suppliers	5,174,072	11,966,420	5,174,072	11,966,420
	1,087,021,247	1,114,147,831	48,241,184	56,113,380
Investment in Logicare (Pvt) Ltd	-	-	633,000,000	633,000,000
Current Assets				
Consumables	129,837	1,317,056		
Trade and Other Receivables	863,392,207	1,009,532,704	652,608,781	838,484,164
Amount due from Related Party	-	-	48,815,148	-
Short Term Investment	714,793,007	-	714,793,007	-
Loans & Advances to Tea Suppliers	1,247,401,146	1,284,189,889	1,247,401,146	1,284,189,889
Cash and Cash Equivalents	107,954,172	96,650,389	101,914,157	89,447,976
	2,933,670,368	2,391,690,038	2,765,532,238	2,212,122,029
Total Assets	4,020,691,617	3,505,837,868	3,446,773,422	2,901,235,409
EQUITY AND LIABILITIES				
Capital and Reserves				
Stated Capital	333,200,000	333,200,000	333,200,000	333,200,000
Retained Earnings	125,730,529	124,300,552	565,841,307	532,808,992
Revaluation Reserve	119,515,351	119,515,351	-	
Total Equity	578,445,880	577,015,903	899,041,307	866,008,992
Non-Current Liabilities				
Interest Bearing Borrowings	736,883,341	796,216,663	192,083,341	290,416,663
Lease Payable	-	6,262,779	-	-
Deferred Tax Liability	32,742,454	32,742,455	-	-
Retirement Benefit Obligation	64,892,215	63,092,215	44,303,582	42,803,582
	834,518,009	898,314,112	236,386,923	333,220,245
Current Liabilities				
Trade and Other Payables	776,346,506	717,102,168	705,780,420	618,985,386
Interest Bearing Borrowings	1,650,906,994	921,292,088	1,570,138,880	796,212,027
Lease Payable	30,738,712	30,600,703	-	-
Amount due to Related Party	-	-	-	7,557,430
Tax Payable	35,271,718	30,405,073	35,271,719	30,405,073
Bank Overdrafts	114,463,797	331,107,819	154,172	248,846,255
	2,607,727,727	2,030,507,851	2,311,345,192	1,702,006,170
Total Liabilities	3,442,245,736	2,928,821,963	2,547,732,115	2,035,226,415
Total Equity and Liabilities	4,020,691,617	3,505,837,868	3,446,773,422	2,901,235,409
Net Asset Value Per Share	3.17	3.16	4.93	4.75

I certify that the above financial statements have been prepared in compliance with the requirements of Companies Act No 7 of 2007.

.....

Director Finance

The Board of Directors are responsible for the preparation and presentation of these Financial Statements.

Signed for and on behalf of the board by:

.....

Director

.....

Director

14th August 2024

Colombo

CEYLON TEA BROKERS PLC
Statement of Changes in Equity
For the Period Ended 30th June

	Stated Capital	Revaluation Reserve	Retained Earnings	Total
GROUP	**Rs.**	**Rs.**	**Rs.**	**Rs.**
Balance as at 01.04.2023	333,200,000	119,515,351	167,398,638	620,113,989
Profit for the period ended 30.06.2023	-	-	26,444,973	26,444,973
Dividend Paid	-	-	-	-
Balance as at 30.06.2023	333,200,000	119,515,351	193,843,611	646,558,962
Balance as at 01.04.2024	333,200,000	119,515,351	124,300,552	577,015,903
Profit for the period ended 30.06.2024	-	-	1,429,977	1,429,977
Balance as at 30.06.2024	333,200,000	119,515,351	125,730,529	578,445,880
COMPANY				
Balance as at 01.04.2023	333,200,000	-	516,886,453	850,086,453
Profit for the period ended 30.06.2023	-	-	40,403,960	40,403,960
Dividend Paid	-	-	-	-
Balance as at 30.06.2023	333,200,000	-	557,290,413	890,490,413
Balance as at 01.04.2024	333,200,000	-	532,808,992	866,008,992
Profit for the period ended 30.06.2024	-	-	33,032,315	33,032,315
Balance as at 30.06.2024	333,200,000	-	565,841,307	899,041,307

figures in brackets indicate deductions.

CEYLON TEA BROKERS PLC

Statement of Cash Flows

For the Period Ended 30th June

	GROUP		COMPANY	
	30.06.2024	**30.06.2023**	**30.06.2024**	**30.06.2023**
	Rs.	**Rs.**	**Rs.**	**Rs.**
Cash Flow From Operating Activities				
Profit Before Taxation	18,446,623	47,259,135	50,048,961	61,218,122
Adjustments for ;				
Depreciation/Amortisation	21,730,535	27,476,644	1,726,138	6,571,381
Interest Income	(1,885,879)	(8,886,043)	(1,322,538)	(8,886,043)
Interest Expense	71,219,025	103,215,514	53,328,728	85,402,832
Disposal (Profit)/Loss on Property,Plant and Equipment	-	-	-	-
Provision for Retirement Benefit Obligation	1,800,000	1,800,000	1,500,000	1,500,000
Provision for Bad and Doubtful Debt	4,800,000	4,650,000	4,500,000	4,500,000
Cash Generated from Operating Activities Before Working Capital Changes	116,110,303	175,515,250	109,781,289	150,306,292
Increase/Decrease in Working Capital				
(Increase)/ Decrease in Trade and Other Receivables	145,840,497	(93,269,170)	185,875,383	(54,343,464)
(Increase)/ Decrease in Consumables	1,187,219			
Loans & Advances (Disburstments to)/Recoveries From Tea Suppliers	39,081,091	(136,746,660)	39,081,091	(136,596,660)
Increase/(Decrease) in Trade and Other Payables	59,244,338	(9,157,681)	86,795,035	(12,543,648)
(Increase)/Decrease in Related Party Receivable	-	-	(56,372,578)	(15,632,799)
Cash Generated from/(Used In) Operating Activities	361,463,447	(63,658,261)	365,160,220	(68,810,279)
Tax Paid	(12,150,000)	(9,600,000)	(12,150,000)	(9,600,000)
Gratuity Paid	-	(2,036,250)	-	(2,036,250)
Net Cash Generated from/(Used In) Operating Activities	349,313,447	(75,294,511)	353,010,220	(80,446,529)
Cash Flow From Investing Activities				
Interest Received	(12,907,127)	1,274,210	(13,470,468)	1,274,210
Proceeds from sale of Assets	-	-	-	-
Investment made during the year	(700,000,000)	(250,000,000)	(700,000,000)	(250,000,000)
Purchase of Property, Plant & Equipment	(1,396,300)	(14,944,658)	(646,300)	(13,904,080)
Net Cash Generated from/(Used In) Investing Activities	(714,303,427)	(263,670,448)	(714,116,768)	(262,629,870)
Cash Flow From Financing Activities				
Interest Paid	(69,987,546)	(103,058,449)	(53,328,728)	(85,347,385)
Lease Payments	(7,356,249)	(11,374,926)	-	(5,859,808)
Dividend Paid	-	-	-	-
Movement in Interest Bearing Borrowings				
Loan repayment made during the period	(2,719,718,416)	(1,022,058,526)	(2,644,406,459)	(973,767,609)
Commercial paper issued during the year	100,000,000		100,000,000	
Loan obtained during the period	3,290,000,000	1,485,000,000	3,220,000,000	1,440,000,000
Net Cash Generated from/(Used In) Financing Activities	592,937,789	348,508,099	622,264,813	375,025,198
Net Increase in Cash and Cash Equivalents	227,947,806	9,543,138	261,158,263	31,948,803
Cash and Cash Equivalents at the Beginning of the Period	(234,457,430)	(265,713,326)	(159,398,279)	(242,922,340)
Cash and Cash Equivalents at the End of the Period	(6,509,626)	(256,170,190)	101,759,984	(210,973,537)

figures in brackets indicate deductions.

Notes to the Financial Statements:

1. Figures for the period ended as at 30th June 2024 are unaudited.

2. The Company is required to prepare Interim Financial Statements in accordance with LKAS 34 – Interim Financial Reporting issued by the Institute of Chartered Accountants of Sri Lanka.

3. **Significant Accounting Policies**
   -The same accounting policies and methods of computation are followed in the interim financial statements as compared with audited annual financial statements as at 31st March 2023.

   -Staff loans granted have been recognised at fair value at the time of granting and resultant adjustments were accounted as prepaid staff cost and amortised over the tenure of the loan on a straight line basis. Interest income was recognised using effective interest rate method.

   -Loans granted to customers were recognised at fair value plus directly attributable transaction costs and fee income, initially. Subsequent measurement of loans were recognised at amortised cost using effective interest rate.

   -Storage & Storage Related Income were recognised on accrual basis for the period of service provided by the group instead of the date of auction.

4. The nature of related party transactions in the current period is similar to those reported in the Audited Financial Statements – 2022/2023

5. There were no significant events that occurred subsequent to the end of the interim period which require disclosure or adjustments in the interim financial statements.

6. There were no contingent liabilities identified in the foreseeable future which require disclosure in the financial statements.

7. To facilitate comparison and where relevant, balances pertaining to the previous period have been reclassified.

8. Ceylon Tea Brokers Group consists of Logicare (Pvt) Ltd which is a fully owned subsidiary of Ceylon Tea Brokers PLC.

   Tea handling operations were transferred back to Logicare (Pvt) Ltd from Ceylon Tea Brokers PLC w.e.f 01st September 2023. The relevant income and expenses were recognized accordingly.

   Logicare (Pvt) Ltd has commenced it's commercial operations during the Quarter ended 30th June 2019.

   Logicare (Pvt) Ltd has entered into a 39 year lease agreement commencing 29/07/2016 with the Sri Lanka Land Reclamation and Development Corporation to lease a land in Muthurajawela.

Notes to the Financial Statements:

9. **SEGMENTAL INFORMATION**
As at 30th June 2024

The group has the following two strategic business segments , which are its reportable segments. These two segments offer different services to the customers and separate financial information are available.These two segments are managed separately because they require different technology and marketing strategy.

Information related to each reportable segment is set out below. Segment profit (loss) before tax is used to measure performance. The management believes that this information is the most relevant in evaluating the results of the respective segments relative to other entities that operate in the same industries.

	Business Segments		
	Tea Broking & Related Services	**Warehousing & Logistics**	**Total**
	2024/25	2024/25	2024/25
Segment Revenue			
External Sales	263,018,028	121,041,569	384,059,597
Internal Sales	-	(37,816,532)	(37,816,532)
Total Segment Revenue	263,018,028	83,225,037	346,243,065
Segment Profit/ (Loss) Before Tax	50,048,961	(31,602,338)	18,446,623
Depreciation and Amortization	1,726,138	20,004,397	21,730,535
Interest Income	1,322,538	563,341	1,885,879
Interest Expense	53,328,728	17,890,297	71,219,025
Impairment/Write off on Financial Assets	4,500,000	300,000	4,800,000
Segmental Assets	2,746,479,862	1,230,678,397	3,977,158,259
Unallocated Assets			43,533,355
Total Segmental Asset			4,020,691,614
Segmental Liabilities	2,547,732,108	894,513,628	3,442,245,736

10. Market prices recorded during the period ended 30th June 2024

2024/25-1st Quarter				2023/24-1st Quarter			
Highest	Rs. 5.50	Date:	11.06.2024	Highest	Rs. 4.80	Date:	14.06.2023
Lowest	Rs. 4.90	Date:	20.05.2024	Lowest	Rs. 3.90	Date:	30.05.2023
Last Traded	Rs. 5.30	Date:	28.06.2024	Last Traded	Rs. 4.60	Date:	28.06.2023
Closing Price	Rs. 5.30	Date:	28.06.2024	Closing Price	Rs. 4.60	Date:	28.06.2023

11. The float adjusted market capitalization as at 30th June 2024 - Rs. 149,117,842.60

12. Precentage of public holding as at 30th June 2024 was 15.425% comprising 2,755 shareholders.

13. The float adjusted market capitalization of the company falls under option 2 of Rule 7.13.1 (i) (b) of the Listing rules of the Colombo Stock Exchange and the company has complied with the minimum public holding requirement applicable under the said option.

14. Directors' holding in shares as at 30th June 2024

Director's Name	**Shareholding (No. of Shares)**	**%**
Mr. R J N De Mel (Chairman)	80,000	0.044%
Mr. W A T Fernando (Managing Director)	48,837,837	26.775%
Mr. D.G.W De Silva (Director/Chief Executive Officer)	-	-
Mr. K A D Fernando (Director/Chief Operating Officer)	-	-
Mr. H T D Nonis	10,000	0.005%
Mr. Z Mohamed	-	-
Ms. N T M S Cooray	10,908,751	5.981%
Ms. H M S Perera	1,390,492	0.762%
Mr. C P R Perera	3,500,000	1.919%
Mr. B R L Fernando	22,640	0.012%
Mr. K H S Deshapriya	-	-

Notes to the Financial Statements (Continued):

15. 30 major shareholders as at 30th June 2024

	Shareholder's Name	As At 30th June 2024 No. of Shares	%
1	ASHTHI HOLDINGS (PRIVATE) LIMITED	55,434,267	30.392%
2	MR. W.A.T. FERNANDO	48,837,837	26.775%
3	JETWING TRAVELS (PVT) LTD	34,080,571	18.685%
4	MISS N.T.M.S. COORAY	10,908,751	5.981%
5	MR C.P.R. PERERA & MRS D. PERERA	3,500,000	1.919%
6	MR. A.D. EDUSSURIYA	2,000,000	1.096%
7	MR. S. YUSOOF	1,750,000	0.959%
8	HATTON NATIONAL BANK PLC/KANDAIAH KANAPATHIPILLAI SHUJEEVAN	1,560,166	0.855%
9	SEYLAN BANK PLC/H.M.S.PERERA	1,390,392	0.762%
10	LOLC FINANCE PLC/C.B.R. FERNANDO	1,160,000	0.636%
11	MRS. A.S. AMALRAJ	885,000	0.485%
12	MR K.T. KARUNANAYAKE & MRS D.U. KOKU HANNEDIGE	631,400	0.346%
13	MR. P.G. PIYASIRI	613,000	0.336%
14	MR. M.A. QASIM	575,779	0.316%
15	PEOPLE'S LEASING & FINANCE PLC/MR.M.I.SAMSUDEEN	558,078	0.306%
16	MR. Y.L. NANDASENA	555,153	0.304%
17	MR. G.G.M.A.A. JAMEEL	493,154	0.270%
18	ACUITY PARTNERS (PVT) LTD/MR. HENRY ANTHONY ROHAN PIERIS	355,000	0.195%
19	MR. M.H.A. KAMIL	342,062	0.188%
20	DIALOG FINANCE PLC/A.S.M.SHIYAM	300,000	0.164%
21	DR. A.R. MOHAMED	297,683	0.163%
22	MR. V.R.A. PERERA	265,000	0.145%
23	MR. V. SIVAKUMAR	254,605	0.140%
24	MR. S. NEERAJAN	252,000	0.138%
25	MR. A.J. WEERASINGHE	247,534	0.136%
26	DR. A.A.M. DHARMADASA	235,457	0.129%
27	MISS S.V.T. FERNANDO	225,000	0.123%
28	ASSETLINE FINANCE LIMITED/J.A.S.PRIYANTHA	221,000	0.121%
29	CITIZENS DEVELOPMENT BUSINESS FINANCE PLC/A.M.A.P.K. DISSANAYAKE	220,575	0.121%
30	MR. W.A.S CHATHUMADHURA	212,518	0.117%
		168,361,982	92.304%
	OTHERS	14,038,018	7.696%
		182,400,000	**100.00%**